


Rating
Buy

Asia
China

Consumer

Textiles, Apparel & Luxury
Goods

Company
Anta

Reuters
2020.HK

Bloomberg
2020 HK

Exchange
HSI

Ticker
2020

ADR
ANPDY

ISIN
US03662P1075

Date
6 July 2026

Forecast Change

Price at 6 Jul 2026 (HKD)	72.75
Price target - 12mth (HKD)	85.00
52-week range (HKD)	104.40 - 67.55
HANG SENG INDEX	23,350

2Q Preview: Retail Sales Decelerated, but FY26 Remains on Track

Anta 2Q26 preview: retail sales decelerated, but FY26 remains on track

Anta will release its 2Q26 operational update after market close on July 14. **We forecast Anta brand retail sales to be flattish YoY, compared to high-single-digit growth in 1Q26, as e-commerce recovery is offset by cooler offline sales in 2Q26. Fila growth likely slowed from low-teens to mid-single-digit YoY, but should still outperform peers on solid brand momentum. Other brands, including Descente and Kolon, likely grew around 30% YoY, supported by strong outdoor demand.** The slowdown is in line with softer China consumption, while Anta should continue to outperform peers given solid DTC execution and a diversified brand portfolio.

DB model update: FY26 net profit fine-tuned to RMB14.1bn

Anta's robust 1Q retail sales provide a buffer for FY26 despite softer 2Q trends. We expect the company to reaffirm FY26 guidance: low-single-digit growth for Anta, mid-single-digit growth for Fila, and over 20% growth for other brands.

We forecast 1H26 revenue growth of 10.1% YoY and net profit growth of 3.9% YoY to factor in a higher A&P expense compared to 1H25. For FY2026, we forecast 9.4% YoY revenue growth to factor in a softening consumption environment. Our revised 2026 model implies a 16.1% net profit margin and RMB14.1bn net profit, reflecting stronger Amer results. Our FY26 net profit forecast is 2% below Bloomberg consensus of RMB14.5bn, while the current share price implies 12.8x 2026E P/E based on our estimates.

We maintain our Buy rating and fine-tune our target price to HK\$85 from HK\$87, implying 15x 2026E P/E.

Valuation & Risks

Sammi Xu

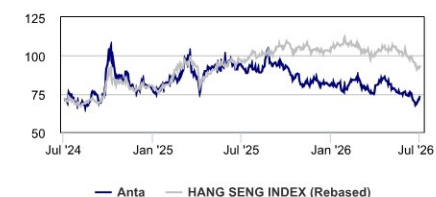
Research Analyst
+852-2203-5415

Key changes

TP	87.00 to 85.00	↓	-2.3%
Sales (FYE)	87,588 to 87,727	↑	0.2%
Op prof margin (FYE)	22.9 to 22.4	↓	-2.2%
Net profit (FYE)	14,212.2 to 14,158.9	↓	-0.4%

Source: Deutsche Bank

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-3.2	-9.7	-21.8
HANG SENG INDEX	-8.9	-7.0	-3.0

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	20.4
Net debt/equity (%)	5.9
Book value/share (CNY)	26.05
Price/book (x)	2.4
Net interest cover (x)	—
Operating profit margin (%)	22.4

Source: Deutsche Bank

Deutsche Bank AG/Hong Kong

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Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Sales (CNYm)	70,826.0	80,219.0	87,726.8	95,462.9	103,964.6
EBITDA (CNYm)	22,066.0	25,044.0	26,412.4	29,080.8	32,137.1
Reported NPAT (CNYm)	15,596.0	13,588.0	14,158.9	15,548.0	16,523.5
Reported EPS FD(CNY)	5.37	4.68	5.06	5.56	5.91
DB EPS FD(CNY)	4.09	4.68	5.06	5.56	5.91
OLD DB EPS FD(CNY)	5.37	4.68	5.08	5.66	–
% Change	-23.7%	0.0%	-0.4%	-1.8%	–
DB EPS growth (%)	14.6	14.3	8.2	9.8	6.3
PER (x)	17.8	17.5	12.4	11.3	10.6
EV/EBITDA (x)	8.1	8.4	5.8	5.2	4.3
DPS (net) (CNY)	2.18	2.23	2.53	1.95	2.07
Yield (net) (%)	3.0	2.7	4.0	3.1	3.3

Source: Deutsche Bank estimates, company data



Key charts

Figure 1: Anta: retail sales trend



Source : Company announcement, Deutsche Bank estimates

Figure 2: Anta: DB forecast and BBG consensus

Rmb mn	DB forecast			BBG consensus			DB vs. consensus		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues	87,727	95,463	103,965	95,415	103,448	103,448	-8%	-8%	0%
Anta	36,092	37,410	38,803	37,572	39,018	39,018	-4%	-4%	-1%
Fila	30,160	31,920	33,797	31,839	33,464	33,464	-5%	-5%	1%
Others	21,475	26,133	31,365	26,334	31,624	31,624	-18%	-17%	-1%
Gross profit	54,572	59,683	65,243	59,339	64,446	64,446	-8%	-7%	1%
<i>Gross margin</i>	<i>62.2%</i>	<i>62.5%</i>	<i>62.8%</i>	<i>62.2%</i>	<i>62.3%</i>	<i>62.3%</i>	<i>0.0pp</i>	<i>0.2pp</i>	<i>0.5pp</i>
Anta	53.5%	53.4%	53.3%	53.3%	53.4%	53.4%	0%	0%	0%
Fila	65.8%	65.7%	65.6%	66.5%	66.5%	66.5%	-1%	-1%	-1%
Others	71.8%	71.7%	71.4%	71.5%	71.3%	71.3%	0%	0%	0%
Operating profit	19,656	21,248	23,156	22,121	24,296	24,296	-11%	-13%	-5%
<i>Operating margin</i>	<i>22.4%</i>	<i>22.3%</i>	<i>22.3%</i>	<i>23.2%</i>	<i>23.5%</i>	<i>23.5%</i>	<i>-0.8pp</i>	<i>-1.2pp</i>	<i>-1.2pp</i>
Net profit	14,159	15,548	16,487	14,506	15,830	17,462	-2%	-2%	-6%
<i>Net margin</i>	<i>16.1%</i>	<i>16.3%</i>	<i>15.9%</i>	<i>15.2%</i>	<i>15.3%</i>	<i>16.9%</i>	<i>0.9pp</i>	<i>1.0pp</i>	<i>-1.0pp</i>
Recurring net profit (ex one-off)	14,159	15,548	16,487	14,506	15,830	17,462	-2%	-2%	-6%
<i>Core net margin</i>	<i>16.1%</i>	<i>16.3%</i>	<i>15.9%</i>	<i>15.2%</i>	<i>15.3%</i>	<i>16.9%</i>	<i>0.9pp</i>	<i>1.0pp</i>	<i>-1.0pp</i>
Diluted EPS (Rmb)	5.06	5.56	5.90	5.13	5.60	5.60	-1%	-1%	5%

Source : Bloomberg Financial LP, Deutsche Bank estimates



Model updated: 06 July 2026

Running the numbers

Asia

China

Textiles, Apparel & Luxury Goods

Anta

Reuters: 2020.HK

Bloomberg: 2020 HK

Buy

Price (6 Jul 26) HKD 72.75

Target Price HKD 85.00

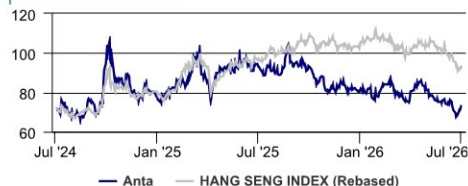
52 Week range HKD 67.55 - 104.40

Market cap (m) HKDm 203,457
USDm 25,940

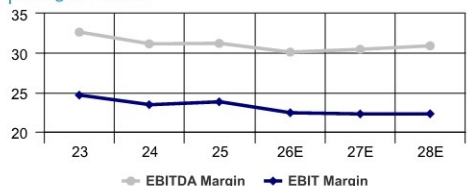
Company Profile

ANTA Sports is a multi-brand sportswear group in China, ranking No.1 in sportswear in terms of revenue. Its brand portfolio includes Core Anta brand, Fila, and other brands (Descente and Kolon), with revenue contribution of 49%, 40%, ~11%, respectively. The company's store network includes over 9k Anta stores, about 2k Fila stores, and 100-200 stores for Descente and Kolon.

Price Performance



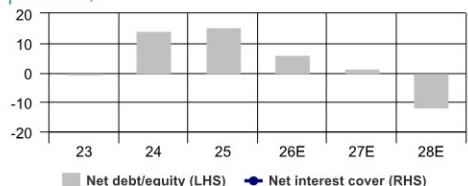
Margin Trends



Growth & Profitability



Solvency



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Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	3.57	4.09	4.68	5.06	5.56	5.91
Reported EPS (CNY)	3.57	5.37	4.68	5.06	5.56	5.91
DPS (CNY)	1.87	2.18	2.23	2.53	1.95	2.07
BVPS (CNY)	18.2	21.9	23.5	26.1	29.7	33.5
Weighted average shares (m)	2,775	2,808	2,780	2,797	2,797	2,797
Average market cap (CNYm)	232,570	204,875	227,629	175,898	175,898	175,898
Enterprise value (CNYm)	214,384	179,231	209,147	152,338	149,949	138,464

Valuation Metrics

P/E (DB) (x)	23.5	17.8	17.5	12.4	11.3	10.6
P/E (Reported) (x)	23.5	13.6	17.5	12.4	11.3	10.6
P/BV (x)	3.77	3.28	3.16	2.41	2.12	1.88
FCF Yield (%)	8.1	7.4	8.5	11.4	9.0	14.2
Dividend Yield (%)	2.2	3.0	2.7	4.0	3.1	3.3
EV/Sales (x)	3.4	2.5	2.6	1.7	1.6	1.3
EV/EBITDA (x)	10.5	8.1	8.4	5.8	5.2	4.3
EV/EBIT (x)	14.0	10.8	11.0	7.7	7.1	6.0

Income Statement (CNYm)

Sales revenue	62,356	70,826	80,219	87,727	95,463	103,965
Gross profit	44,015	49,503	55,687	61,327	67,515	74,224
EBITDA	20,354	22,066	25,044	26,412	29,081	32,137
Depreciation	1,018	1,023	1,023	988	1,157	1,341
Amortisation	3,969	4,448	4,930	5,768	6,675	7,640
EBIT	15,367	16,595	19,091	19,656	21,248	23,156
Net interest income(expense)	991	1,388	1,151	597	462	234
Associates/affiliates	-718	198	1,203	1,926	2,532	2,532
Exceptional/extraordinary	0	3,703	1	0	0	0
Other pre-tax income/(expense)	0	0	0	0	0	0
Profit before tax	15,640	21,884	21,446	22,180	24,241	25,921
Income tax expense	4,363	4,895	5,784	5,787	6,203	6,683
Minorities	1,041	1,393	2,074	2,234	2,490	2,714
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	10,236	15,596	13,588	14,159	15,548	16,524
DB adjustments (including dilution)	0	-3,703	0	0	0	0
DB Net profit	10,236	11,893	13,588	14,159	15,548	16,524

Cash Flow (CNYm)

Cash flow from operations	19,634	16,741	20,996	23,197	19,396	29,049
Net Capex	-904	-1,545	-1,545	-3,075	-3,496	-3,988
Free cash flow	18,730	15,196	19,451	20,123	15,901	25,061
Equity raised/(bought back)	10,384	-1,851	-1,851	0	0	0
Dividends paid	-4,022	-6,072	-6,072	-7,087	-5,450	-5,792
Net inc/(dec) in borrowings	1,288	7,633	7,633	0	0	0
Other investing/financing cash flows	-28,530	-18,744	-18,370	-6,723	-7,072	-5,070
Net cash flow	-2,150	-3,838	791	6,312	3,379	14,199
Change in working capital	1,659	-2,223	-2,223	2,006	-3,969	2,281

Balance Sheet (CNYm)

Cash and other liquid assets	15,228	11,390	12,181	18,493	21,872	36,071
Tangible fixed assets	4,143	4,687	5,366	6,318	7,271	8,229
Goodwill/intangible assets	2,089	2,034	4,253	5,213	6,385	7,814
Associates/investments	22,452	40,080	36,226	37,226	38,726	38,726
Other assets	48,316	54,424	66,269	68,465	75,451	74,845
Total assets	92,228	112,615	124,295	135,715	149,705	165,686
Interest bearing debt	14,944	20,816	23,302	23,302	23,302	23,302
Other liabilities	21,274	25,060	28,588	30,703	32,105	34,640
Total liabilities	36,218	45,876	51,890	54,005	55,407	57,942
Shareholders' equity	51,460	61,729	65,782	72,854	82,952	93,684
Minorities	4,550	5,010	6,623	8,857	11,347	14,061
Total shareholders' equity	56,010	66,739	72,405	81,711	94,299	107,745
Net debt	-284	9,426	11,121	4,809	1,430	-12,769

Key Company Metrics

Sales growth (%)	16.2	13.6	13.3	9.4	8.8	8.9
DB EPS growth (%)	30.8	14.6	14.3	8.2	9.8	6.3
EBITDA Margin (%)	32.6	31.2	31.2	30.1	30.5	30.9
EBIT Margin (%)	24.6	23.4	23.8	22.4	22.3	22.3
Payout ratio (%)	50.7	39.3	45.6	50.1	35.1	35.1
ROE (%)	23.8	27.6	21.3	20.4	20.0	18.7
Capex/sales (%)	1.4	2.2	1.9	3.5	3.7	3.8
Capex/depreciation (x)	0.2	0.3	0.3	0.5	0.4	0.4
Net debt/equity (%)	-0.5	14.1	15.4	5.9	1.5	-11.9
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Investment Thesis

Outlook

Anta is the largest sportswear company in China and one of the leading global players in the industry. Founded in 1991, Anta initially focused on mass-market athletic footwear and apparel within China. Over its three-decade history, the company has strategically evolved from a single-brand operator into a multi-brand powerhouse with a global presence, effectively capturing diverse market segments from mass-market to premium performance and lifestyle. This extensive brand ecosystem—including core Anta (44% of group revenue), Fila (36%), Other brands (20%, such as outdoor-focused Descente & Kolon), and a 40% stake in another global platform for sports and outdoor brands—is designed to effectively counter macro headwinds. By capitalizing on consumers' demand for functionality and specialized brands, Anta's portfolio gains a significant competitive edge in securing increased market share. We project that Anta's robust diversification and internationalization strategy will drive high-single-digit growth for the next five years, making it a compelling choice for long-term investors; Buy.

Valuation

We use discounted cash flow analysis to value Anta. Our DCF assumptions include: a 1.7% risk-free rate, 1.35 beta, 6.5% market risk premium, WACC of 9.8% and a terminal growth rate of 0.0% (in line with regional coverage averages).

Risks

Key risks: 1) weaker-than-expected macro, which might lead to less store traffic; 2) excess inventory; 3) fashion risk which might impact the sales of its premium product line; and 4) intensified competition in Chinese sportswear sector due to more aggressive promotional activities



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
Anta	2020.HK	72.75 (HKD) 03 Jul 2026	1, 2, 7, 8, 14, 15, 24

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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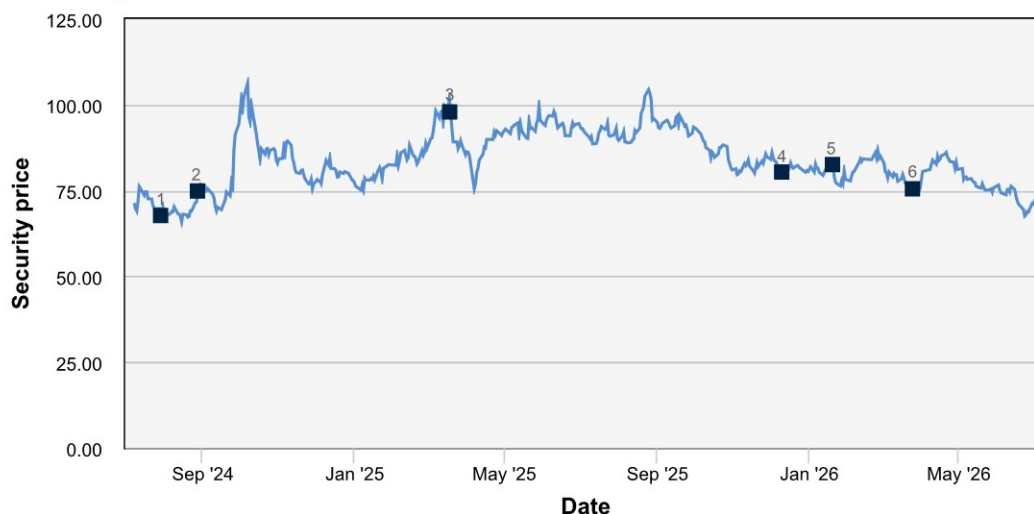
Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Sammi Xu.



Historical recommendations and target price: Anta (2020.HK)

(as of 07/03/2026)



Current Recommendations

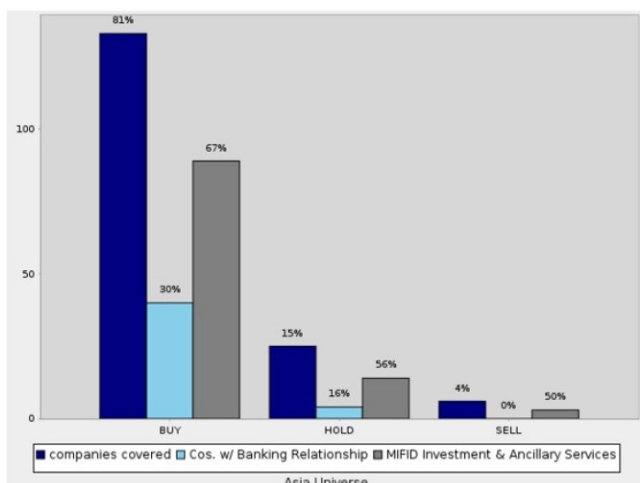
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	07/30/2024	Buy, Target Price Change HKD 105.00, Current Price HKD 67.70 Jessie Xu**	4.	12/11/2025	Buy, Target Price Change HKD 95.00, Current Price HKD 80.40 Sammi Xu
2.	08/28/2024	Buy, Target Price Change HKD 110.00, Current Price HKD 74.85 Jessie Xu**	5.	01/20/2026	Buy, Target Price Change HKD 92.00, Current Price HKD 82.55 Sammi Xu
3.	03/19/2025	Buy, Target Price Change HKD 118.00, Current Price HKD 97.90 Jessie Xu**	6.	03/26/2026	Buy, Target Price Change HKD 87.00, Current Price HKD 75.50 Sammi Xu



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold") recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the "Cos. w/ Investment Banking relationship" bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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